

A TALE OF TWO START-UPS

ATHER

Asset Light

FIRST E-SCOOTER

LAUNCH: 2018

- ▶ Avoided discounting war and sub-₹1 lakh segment
- ▶ Expanded dealership network only after portfolio widened
- ▶ Used 'capex-light' model in manufacturing and operated from a leased facility. Believes in limited vertically integration
- ▶ Has no plans to make battery cells. Instead, has partnered with Amara Raja to source cells locally in the future

OLA ELECTRIC

The Big Bang

FIRST E-SCOOTER

LAUNCH: 2021

- ▶ Bet big on scooters priced under ₹1 lakh
- ▶ Created its own direct-to-consumer store network instead of relying on dealers
- ▶ Built a 500-acre 'Futurefactory' in Tamil Nadu's Krishnagiri, the largest electric two-wheeler plant in India
- ▶ Set up India's first cell manufacturing unit to improve vertical integration and localise battery cells

| 41

across the length and breadth of the country given its diversity," he says.

Mehta says they have been deliberately conservative about store expansion. "Too many outlets won't make a difference, and they will sell only so much. We will expand distribution as our portfolio expands," he says, adding, "if we had opened our distribution too early, it would have become an albatross around our neck, because they would have been non-profitable stores. We have been disciplined with our capital and the capital of our partners. If your partner runs an unviable store for too long, he loses interest. If you run it yourself, you will burn money like crazy. You will add a little bit of volume but have no real market connect."

Ather began expanding distribution last year after it launched its first family scooter, Rizta, which is relatively cheaper than its flagship Ather 450. "On the back of Rizta, over the last one year, we have more than doubled our distribution," says Mehta.

At the end of the first half of FY26, Ather had 524 dealerships—over half were opened in the past year after it entered the mass scooter segment with Rizta. "We have taken a focused approach. First, our focus was on the

South. In this fiscal year, our focus has been on Middle India—Gujarat, Maharashtra, Chhattisgarh and Odisha. Starting this quarter, our focus will start shifting to north India. We expect market share gains after we enter these geographies," says Mehta.

Ather was cautious, says S&P's Gupta. "They were moving step by step. They were relatively slow. But Ola was much more aggressive. They had funds to do that. Ather was dependent on Hero MotoCorp to an extent. But things worked out in their favour. Though Ather started well, it could have scaled up much faster than Ola. Ola was much more aggressive, for which they have lately paid the price," he says. Among Ather's early backers, Hero MotoCorp, owns 30% in the company. Mehta and Jain hold 5.5% each.

Unlike the traditional dealership model followed by most OEMs, Ola owns its retail stores, akin to Tesla's direct-to-consumer model. Harshvardhan Sharma, Group Head, Automotive Tech & Innovation Group, Nomura Research Institute, says the direct-to-consumer model allows a faster rollout and better control over pricing, branding, and customer data. "Strategically, it made sense in its early phase. However, as the scale-up